ORDINANCE NO. 430

AN ORDINANCE AWARDING AN EXCLUSIVE CONTRACT FOR COLLECTION AND DISPOSAL OF RESIDENTIAL, INDUSTRIAL AND COMMERCIAL SOLID WASTE IN AREAS OF THE CITY OF RECTOR, CLAY COUNTY, ARKANSAS TO DEWEY SHELTON, DOING BUSINESS AS SHELTON SANITATION OF RECTOR, AND AUTHORIZING THE MAYOR OF THE CITY OF RECTOR TO EXECUTE THE CONTRACT AGREEMENT FOR SUCH SERVICES. DECLARE AN EMERGENCY AND OTHER PURPOSES.

WHEREAS; the City of Rector, Clay County, Arkansas, has decided that it would be in the best interest of it's citizens to award an exclusive contract for the purpose of disposing of residential, industrial and commercial solid waste for a period of one year.

WHEREAS; a public meeting was held on the 5th day of Feb., 1996, the citizens of Rector voiced an opinion as to whether or not the services should be provided.

WHEREAS; the citizens of Rector unanimously agreed that it was in the city's best interest to award an exclusive contract to Shelton Sanitation.

WHEREAS; after several meetings, the city council negotiated a contract with Shelton Sanitation, after Shelton Sanitation places $15,000 in escrow with a Financial Institution.

NOW, THEREFORE, BE IT ENACTED BY THE CITY COUNCIL OF THE CITY OF RECTOR, ARKANSAS:

SECTION 1. That the City Council of the City of Rector, Arkansas, hereby authorizes the Mayor to award a contract to Dewey Shelton, doing business as Shelton Sanitation, for collection of disposable solid waste in the incorporated areas of the City of Rector per the contract dated March 1, 1996 for a period of one year beginning 4-01-96 ending 3-31-97.

SECTION 2. That the Mayor of the City of Rector is hereby authorized to execute the contract with Shelton Sanitation as may be necessary and advisable to fully and accurately reflect the rights, duties, and obligations of the City of Rector with respect to the services to be provided by Dewey Shelton, doing business as Shelton Sanitation.

SECTION 3. Nothing herein contained shall require an individual to contract with Shelton Sanitation for the removal of their solid waste. No other individual, company or entity shall be allowed to pickup and dispose of solid waste in the city limits of Rector, Arkansas.

THEREFORE, an emergency is declared to exist and this Ordinance is necessary for the public peace, health and safety and this Ordinance shall be in full force and effect from and after its passage and approval.

DATED: 3-4-96

APPROVED:

Ronald E. Kemp

Ronald E. Kemp, Mayor

ATTEST:

Kenneth R. Burns

Kenneth Burns, City Clerk

Agreement

This agreement, made and entered into on this 4th day of March, 1996, by and between the City of Rector, Arkansas, and Shelton Sanitation, upon the terms and conditions hereinafter set forth.

I. Exclusivity. The City of Rector hereby grants to Shelton Sanitation the exclusive right to collect refuse generated by residential units, commercial units, and industrial units located within the city limits of the City of Rector.

II. Term. The initial term of this agreement shall extend from April 1, 1996, through March 31, 1997. The Agreement may be renewed annually thereafter, pending approval by both the City of Rector and Shelton Sanitation.

III. Franchise Tax. Shelton Sanitation shall collect, document and remit to the City of Rector on a quarterly basis a Franchise Tax in the amount of 5% of the gross revenues generated by the operation of its refuse collection activities within the city limits of the City of Rector. The Franchise Tax shall be remitted to the City of Rector by Shelton Sanitation no later than the 15th of each month following the quarterly collection period.

Shelton Sanitation shall present to the City Council of the City of Rector a Quarterly Revenue Report, including: (1) the number of customers in each rate category, (2) total revenue collected in each rate category, (3) franchise tax collected for each rate category.

Shelton Sanitation shall present to the City Council of the City of Rector an Audited Annual Report, including the same information as required for the Quarterly Reports set forth in the terms of this Agreement.

IV. Rates. The following rates will be fixed for the term of this Agreement:

Residential Rates (Curb Service Only):
$8.50 monthly (paid in advance)
$24.00 quarterly (paid in advance)
$45.90 semi-annually (paid in advance)
$86.70 annually (paid in advance)
$7.65 monthly: senior citizens, 65 & up (paid in advance)

Commercial I Rates

$35.00/mo.	2-yard dumpster	once a week pickup
$45.00/mo.	2-yard dumpster	twice a week pickup
$40.00/mo.	3-yard dumpster	once a week pickup
$50.00/mo.	3-yard dumpster	twice a week pickup

Commercial II Rates
This category is for all business and industrial customers whose refuse collection service does not fall into the categories defined in the Commercial I section. Shelton Sanitation shall negotiate with Commercial II customers to reach a mutually satisfactory agreement.

Rate increases will be considered by the City Council of the City of Rector prior to the expiration date of this agreement provided Shelton Sanitation presents to the City Council documentation of landfill increases.

V. Guarantee of Service. Shelton Sanitation shall establish an escrow account with a financial institution, mutually agreeable to Shelton Sanitation and the City of Rector, in the amount of $15,000.00. These funds shall be used to refund any pre-paid balance to Shelton Sanitation customers in the event that the company does not fulfill the services for which prepayment was made. The City of Rector and Shelton Sanitation shall enter into a separate escrow agreement which details the obligations of both parties.

VI. Enforcement. Shelton Sanitation shall be responsible for the enforcement of the exclusivity of this Agreement.

VII. Indemnity. Shelton Sanitation shall indemnify, hold harmless, and except the City of Rector, its officers, agents, servants and employees from and against all suits, actions, legal proceedings, claims, demands, damages, costs, expenses, and attorney's fees incident to any negligent work done in the performance of this Agreement.

VIII. Assignment. No assignment of this Agreement or any right occurring therein shall be made in whole or in part by Shelton Sanitation, its officers, agents, servants or employees unless agreed to by the City of Rector.

IX. Permits & License. Shelton Sanitation shall obtain at its own expense and maintain as required by law or ordinance all permits and licenses.

X. Complaints. All complaints addressed to the City of Rector, its officers, agents, servants and employees shall be directed to Shelton Sanitation. It shall be the responsibility of Shelton Sanitation to address any and all such complaints.

XI. Covenants & Conditions. This agreement shall be binding upon and insure to the benefit of the parties thereto and their respective successors.

Dated this 4th day of March, 1996.

Owner, Shelton Sanitation

Ronald E. Kemp, Mayor

Kenneth R. Burns, Rec.-Treasurer